



Delhi School of Management
Delhi Technological University

MBA 107:
Marketing Management
(4 Credits)

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Unit 2: Marketing Environment

Marketing Environment

Marketing Environment

- “Today you have to **run faster to stay in the same places**”
- *The term Marketing Environment refers to the **market surroundings which affect the decisions** related to the marketing activities and strategies.*
- *“Marketing Environment can be defined as **various internal (Micro) and external (Macro) factors** under which marketing functions take place.”*
- *According to Philip Kotler, “marketing environment refers to **“external factors and forces** that **affect** the company’s **ability to develop and maintain successful transactions** and relationships with its target customers”.*

What is Marketing Environment?

The marketing environment refers to all the external and internal forces that influence a company's ability to create, communicate, and deliver value to its customers.

These forces can:

- **Create opportunities** (e.g., favorable government policies, new technology)
- **Create threats** (e.g., economic slowdown, new competitors)

Marketers must **constantly monitor these factors**, adapt their strategies, and ensure that the company stays competitive.



Key Components of Marketing Environment

(a) Macro Environment

- Large-scale, **broad forces** that affect not just one company but the entire industry and even multiple sectors.
- These factors are **external and uncontrollable**.

Examples of macro forces: Political, Economic, Socio-cultural, Legal, Ecological, Technological (PESTLE factors).

- The Government of India's "**Digital India**" program boosted internet access in rural areas, enabling companies like Reliance Jio and Paytm to expand rapidly.

Key Components of Marketing Environment

(b) Micro Environment

- The **immediate environment** surrounding the company, directly affecting its operations and marketing performance.
- Includes: Customers, Suppliers, Competitors, Marketing intermediaries, and Public stakeholders.
- More **company-specific** compared to macro environment.

Example:

- Flipkart's micro environment includes:
 - **Suppliers:** Local and international brands selling via Flipkart.
 - **Competitors:** Amazon India, Snapdeal, Meesho.
 - **Customers:** Urban and semi-urban online shoppers.

Analyzing Needs and Trends

To remain competitive, companies must **analyze changes in:**

- Consumer preferences (what customers like or dislike)
- Market demand (how much of a product is wanted)
- Emerging trends (shifts in lifestyle, technology, or habits)

Methods of Analysis:

- Market surveys
- Social media listening
- Studying sales data
- Competitor tracking

Examples of Needs and Trends Analysis

Example– Rise in Demand for Electric Vehicles (EVs)

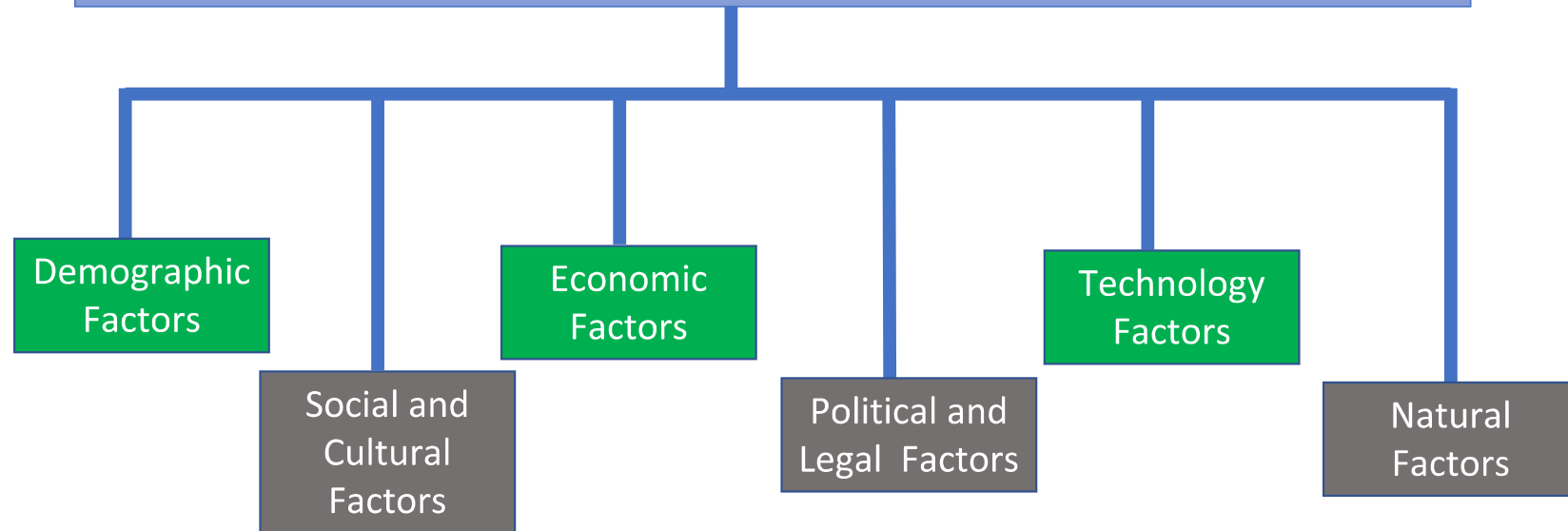
- **Need/Trend:** Consumers want cost-efficient, eco-friendly transport due to rising petrol prices and environmental concerns.
- **Company Response:**
 - *Tata Motors* launched models like **Nexon EV** and **Tigor EV**, highlighting low running costs (~₹1 per km) and zero emissions.
 - Marketing campaigns emphasize government subsidies and long-term savings.
- **Impact:** Tata Motors now holds over **70% share** in India's EV passenger vehicle market (2024 data).

Macro Environment

- The **macro environment** consists of **external and uncontrollable factors** that influence all industries and organizations.
- Companies cannot change these forces, but they **must adapt their strategies** to respond effectively.
- These forces create **market opportunities** (favorable trends) and **threats** (challenges to survival).

MACRO ENVIRONMENT

External forces have considerable affect on company's marketing activities. They are dynamic, ever-changing and are uncontrollable by organisation.



Political Environment

Refers to **government policies, political stability, taxation rules, and trade regulations** that affect business operations.

- In India, political factors include:
 - Union Budget announcements
 - FDI (Foreign Direct Investment) policies
 - GST tax rates
 - State-level industrial policies

Example:

- In 2020, the Government of India **increased GST on sugary soft drinks** from 12% to 18% as part of a health initiative.
- Soft drink companies like Coca-Cola India and PepsiCo promoted **diet and zero-sugar versions** to reduce the tax impact and meet health-conscious demand.

Economic Environment

- Includes factors like **GDP growth, inflation rate, unemployment levels, and interest rates** that directly influence consumer purchasing power.
- India's economy is heavily impacted by:
 - RBI's interest rate changes
 - Rupee exchange rates
 - Inflation levels in essential goods

Example:

- During the 2020 pandemic recession, consumers shifted from premium brands (e.g., imported chocolates) to **budget-friendly options** (e.g., Parle-G biscuits).
- During high GDP growth years, sales of cars, smartphones, and luxury goods increase.

Socio-Cultural Environment

- Refers to **values, lifestyles, demographics, cultural beliefs, and education levels** of society.
- In India:
 - Urbanization is increasing.
 - Millennials and Gen Z dominate the workforce.
 - Religious festivals drive seasonal sales.

Example:

- Growing **health and fitness awareness** in urban India has led to higher demand for organic food, herbal products, and fitness equipment.
- Companies like Patanjali, Organic India, and 24 Mantra Organic have benefited.

Legal Environment

- Consists of **laws and regulations** governing:
 - Consumer protection
 - Labor laws
 - Product safety standards
 - Advertising regulations
- Businesses must comply to avoid penalties.

Example:

- The ban on **single-use plastic bags** in Maharashtra (2018) forced retailers like Big Bazaar, Reliance Fresh, and Spencer's to shift to **cloth and paper bags**.

Ecological Environment

- Includes **natural resources, environmental regulations, climate change effects, and sustainability concerns.**
- In India, issues like water scarcity, air pollution, and climate-driven crop failures affect business.

Example:

- **Drought conditions** in Maharashtra increased bottled water demand.
- Companies like Bisleri and Aquafina saw seasonal price rises due to higher demand and supply costs.

Technological Environment

- Refers to the **rate of technological development and adoption** that impacts how products are made, marketed, and delivered.
- In India:
 - Mobile internet penetration is booming.
 - AI, automation, and digital payment systems are transforming industries.

Example:

- HDFC Bank and ICICI Bank launched AI-powered chatbots for instant customer service.
- E-commerce platforms like Flipkart use AI for product recommendations.

Micro Environment

- The **micro environment** refers to the close and controllable forces that directly impact a company's ability to serve its customers effectively. These are **industry-specific factors** and **market participants** that interact with the business on a daily basis.
- A company can **influence** some micro-environment elements (through pricing, quality, promotions), unlike macro-environment forces which are largely uncontrollable.

Industry

- Refers to the nature, size, structure, and growth rate of the industry in which the company operates.
- The health of the industry affects the sales potential and competitive dynamics of the company.

Example – Smartphone Industry

- **Nature:** Highly competitive, technology-driven, fast product turnover.
- **Size:** India is the second-largest smartphone market in the world with over **600 million smartphone users (2024)**.
- **Growth Rate:** Growing at around **6–8% annually** due to affordable 4G/5G and budget smartphones.
- **Impact on Marketing:**
 - Brands like *Xiaomi* and *Realme* release multiple models per year to keep up with demand and innovation trends.
- Aggressive online sales via Flipkart/Amazon are common to quickly penetrate the market.

Competition

- Refers to other firms offering products/services that satisfy the same or similar customer needs.
- Understanding competition helps businesses position themselves effectively and design strategies to capture market share.

Types of Competition

- **Direct Competition** – Competing with companies offering the same or very similar product.
 - **Indian Example:** *Pepsi vs. Coca-Cola* in the carbonated soft drink market.
- **Indirect Competition** – Competing with products that satisfy the same need in a different way.

Example: *Tata Tea vs. Nescafé* — both are competing for the morning beverage segment, even though the products are different.

Porter's Five Forces



Porter's Five Forces

- **Competitive Rivalry** – Intensity of competition within the industry.
- **Threat of New Entrants** – How easily new competitors can enter the market.
- **Bargaining Power of Suppliers** – Influence suppliers have on prices/quality.
- **Bargaining Power of Buyers** – Influence customers have on pricing and product features.
- **Threat of Substitutes** – Availability of alternative products meeting the same need.

Thank You